Silfin Partnership

Investment Fund (ZAR)

MINIMUM DISCLOSURE DOCUMENT

Quarterly Investor Letter • Q1 2026 • 31 March 2026

Partnership Strategy

I look for exceedingly high-quality companies and purchase them as large, concentrated positions. I define the best businesses as ones that have dominant market positions, high barriers to entry, deeply entrenched brand names and distribution, cash-rich balance sheets, scalability and operating leverage, organic revenue growth through volume and pricing, and predictably high returns on R&D and CAPEX. These businesses are typically gatekeepers, monopolies, or toll booths — usually the largest or second largest in their industry — and their returns are highly predictable and repeatable.

Partnership Objective

The goal of the partnership is to create long-term wealth for investors by concentrating capital in our best investment ideas. The fund aims to deliver industry-leading long-term investment growth while assuming moderate levels of risk. The historic risk indicators of the Partnership are comparable to those of traditional Global High Equity Funds.

What does the partnership invest in?

The fund invests across a range of global asset classes, predominantly listed equities, with the ability to hold bonds, listed property, cash, and cash equivalents. Geographic exposure is primarily developed markets, accessed either directly or through low-cost index vehicles.

Who should invest in this fund?

- You are looking for exceptional long-term capital growth.
- You are comfortable assuming a moderate to high level of market risk.
- You are investing for at least seven years.

Key Facts

Risk Profile

Higher Risk • Higher Reward

Managing Partner
Henrico Silvis

Inception
16 October 2023

Benchmark
ACWI & 10% p.a.

Fund Status
Open

Fund Size
R602 154

Reporting Period
01 Jan – 31 Mar 2026

Base Currency
ZAR

Income Distribution
N/A

Issue Date
17 April 2026

Quarterly Update

The first quarter of 2026 was a difficult one. The Partnership declined 5.49% over the three months, closing at a unit value of R135 394 versus R143 255 at year-end 2025. The MSCI ACWI fell 3.20% in U.S. dollar terms over the same period — its worst quarter since 2022 — while rand weakness of approximately 3.7% against the dollar brought the ACWI to roughly flat in ZAR terms. Against that backdrop, the fund underperformed its global equity benchmark in ZAR, while still remaining comfortably ahead of the 10% per annum objective on a cumulative since-inception basis (35.39% vs 26.37%).

The quarter was shaped by a sharp rotation away from the large-cap U.S. growth names that have anchored this portfolio for most of its life. A combination of tariff-related anxiety, cooling sentiment toward AI capital expenditure, and renewed geopolitical risk in the Middle East pulled the S&P 500 down 4.63% in the quarter, with technology and consumer discretionary among the worst-performing sectors. Two of our core holdings, Meta and Alphabet, were both caught up in separate landmark social-media liability trials and saw meaningful drawdowns over the period. Netflix, which we continue to hold, fell sharply on a weak single-day reaction to its latest print. In short, the market punished almost every quality franchise we own at the same time — the kind of indiscriminate selling that tends to create the most durable long-term opportunities.

Against that noise, I used the quarter to simplify and concentrate the portfolio further. I closed the position in Visa at the end of March and sold the S&P 500 tracker (STX500) that had been held as a liquid bridge in the portfolio. The proceeds of both were redeployed into Microsoft at prices I consider genuinely attractive. MSFT is now trading materially below its 5-year average P/E, yet the underlying business continues to compound free cash flow per share at rates that are rare at any size. In earlier letters I described the ideal opportunity as “a quality stock disjointed from its intrinsic value by some temporary concern.” March gave us precisely that, and the allocation reflects my conviction.

At quarter-end the portfolio holds eleven positions, with the Nasdaq-100 tracker (STXNDQ) as the largest single line, followed by Amazon, Alphabet, Microsoft, and Meta. These five account for the majority of the book. The remaining positions — Uber, Netflix, Costco, Moody’s, S&P Global, and the Invesco QQQ — are all businesses I have owned across multiple reporting periods and continue to believe are among the most durable compounders available in global markets.

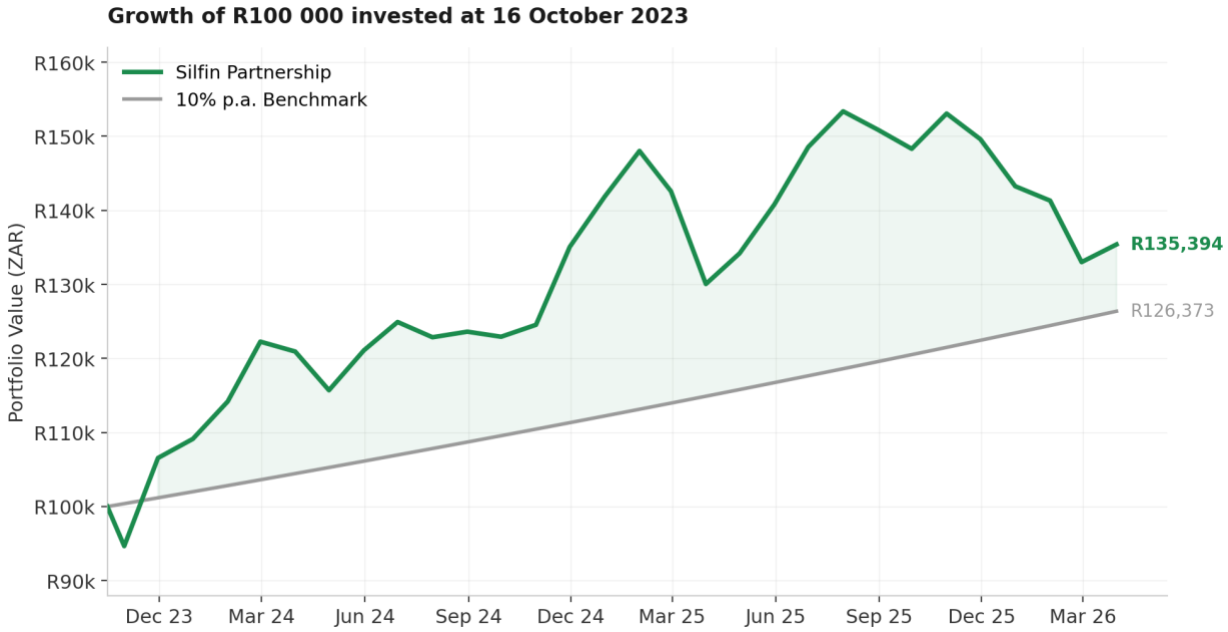
A word on the drawdown. The fund is now roughly 13.3% below its July 2025 peak of R153 370 per unit. That is the largest drawdown the Partnership has experienced since inception, and it will not be the last. I would remind investors that the only reason equity compounding works as well as it does over long periods is precisely because the ride is occasionally uncomfortable. Drawdowns of 15–25% in a concentrated global equity portfolio are a feature, not a bug, and the long-run return stream this portfolio targets is inseparable from those interim losses. What matters is the quality of the underlying earnings streams and the price at which we own them. Both, in my view, remain in excellent shape.

Looking forward, I continue to focus on the same short list of variables that have guided this portfolio since day one: earnings power, balance sheet quality, the judgement of management, and price relative to intrinsic value. Macro forecasting — tariffs, elections, oil, rates — remains a loser’s game, and I have no interest in playing it. My commitment to you is simply to own great businesses at reasonable prices, and to let time do the work it has always done.

Thank you, as always, for your continued trust and partnership.

Henrico Silvis
Managing Partner, Silfin Partnership

Performance



Returns & Performance

	Partnership	10% p.a. Benchmark	MSCI ACWI*
1 Month	+1.79%	+0.80%	+0.89%
3 Months (Q1 2026)	**-5.49%**	**+2.41%**	**+0.42%**
6 Months	-8.71%	+4.88%	-4.02%
12 Months	+4.11%	+10.00%	+12.20%
Year to Date	-5.49%	+2.41%	+0.42%
Since Inception (cumulative)	**+35.39%**	**+26.37%**	**+32.06%**
Since Inception (annualised)	+13.13%	+10.00%	+11.85%

**MSCI ACWI figures shown in USD. Approximate ZAR-equivalent Q1 2026 return after currency translation: +0.4%. Benchmark returns are net total returns.*

Risk Measures

Risk Measure	Partnership	10% p.a. Benchmark	MSCI ACWI
Maximum Cumulative Drawdown	-13.28%	0.00%	-10.70%
Highest Rolling 12-Month Return	+31.56%	+10.00%	+23.95%
Lowest Rolling 12-Month Return	-6.71%	+10.00%	-8.66%
% of Months Positive (since inception)	56.7%	100%	63.3%
Best Month	+12.57%	+0.80%	+8.12%
Worst Month	-8.78%	+0.80%	-7.18%

Monthly Returns (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
2023	—	—	—	—	—	—	—	—	—	-5.34	+12.57	+2.42	**+9.13**
2024	+4.63	+6.60	-1.09	-4.32	+4.65	+3.17	-1.65	+0.61	-0.55	+1.31	+8.44	+5.02	**+29.96**
2025	+4.36	-3.68	-8.78	+3.19	+4.94	+5.49	+3.24	-1.62	-1.71	+3.21	-2.26	-4.25	**+1.00**
2026	-1.36	-5.87	+1.79	—	—	—	—	—	—	—	—	—	**-5.49**

Portfolio Composition

Approximate weights at 31 March 2026. Positions sorted by market value.

Holding	Description	Weight
STXNDQ	Satrix Nasdaq-100 ETF (JSE)	23.0%
AMZN	Amazon.com, Inc.	11.0%
GOOGL	Alphabet Inc. Class A	10.6%
MSFT	Microsoft Corporation	10.0%
META	Meta Platforms, Inc.	8.7%
UBER	Uber Technologies, Inc.	5.6%
NFLX	Netflix, Inc.	5.6%
COST	Costco Wholesale Corp.	4.7%
MCO	Moody's Corporation	3.8%
SPGI	S&P Global Inc.	3.2%
QQQ	Invesco QQQ Trust	1.6%
Cash & other	Money-market and settlement	12.2%

Terms

ACWI (MSCI All Country World Index)

A global stock market index covering large- and mid-cap stocks from both developed and emerging markets across approximately 50 countries.

Maximum Drawdown

The largest peak-to-trough decline in unit value over the measurement period.

CAPEX (Capital Expenditure)

Money spent on acquiring or maintaining long-term assets like buildings, equipment, or land.

R&D (Research and Development)

Company activities focused on creating or improving products and services through innovation and technical research.

YTD (Year to Date)

The period from the start of the current calendar year up to the reporting date.

Important Information

This document has been prepared for information purposes for existing and prospective partners of the Silfin Partnership. Past performance is not a reliable indicator of future results. Unit values can go down as well as up, and investors may not recover the full amount initially invested. The fund is managed on a concentrated basis and is therefore expected to exhibit higher volatility than a diversified global equity index. This report is not a solicitation to invest, nor does it constitute financial, tax or legal advice. Figures are unaudited and based on broker statements and internal records as at 31 March 2026.